

Armstrong

— Financial Services —

Attn: Valued Client c/o Howard Berglas

Re: Sun Life Guaranteed UL Memo

Following our analysis of your corporate and estate planning objectives, we are presenting a custom Sun Life Insurance strategy designed for contractual certainty and tax efficiency.

Sun Life UL: A Contractual Guarantee Advantage

Unlike standard Universal Life or Whole Life policies that carry embedded market or dividend risk, the proposed portfolio is built on absolute certainty. To validate this structure, Sun Life will issue a formal Letter of Guarantee for each policy (see the attached sample letter). Specifically:

- **Premiums:** Your annual premium amount is guaranteed never to increase.
- **Coverage:** Your coverage amount is guaranteed never to decrease or expire.
- **Cost of Insurance:** Rates are specified in your contract and are guaranteed never to change.

Canadian Corporate Structure & Tax Integrity

This portfolio is strategically optimized for corporate ownership, enabling you to fund it with tax-efficient corporate dollars.

- **CDA Optimization:** Upon the payout of the death benefit, the proceeds (less the adjusted cost basis) will be credited to your corporation's Capital Dividend Account (CDA), allowing for the highly efficient, tax-free distribution of funds to your shareholders.
- **Tax Compliance:** As a Canadian carrier, Sun Life actively manages the policies to comply with the Maximum Tax Actuarial Reserve (MTAR) limits throughout their lifespan, guaranteeing the tax-exempt status of the policies.

About Sun Life: Founded in 1865, Sun Life is one of Canada's largest and most stable financial institutions, managing \$1.54 trillion in assets. They maintain an AA financial strength rating and a 152% capital ratio—meaning they hold 52% more reserve capital than the government requires to honour their long-term obligations.

*Assuris Guarantee: Because this portfolio is with a Canadian carrier, it is protected by Assuris, the policyholder protection body officially designated by the Government of Canada. In the unlikely event of a carrier failure, this statutory framework provides a cross-carrier guarantee that protects **90% of your total face value at all times.***

High IRR Corporate Estate Liquidity Strategy

Strategic Objective: Unlocking Trapped Safe Income at High Tax-Equivalent IRR

The proposal is a Level Tax-Free Sum Insured Universal Life policy with a face amount of \$100,000,000, designed for a 71-year-old Male standard-health non-smoker.

At life expectancy (age 85), the corporation receives \$100,000,000 of tax-free insurance proceeds. These proceeds generate a total available Capital Dividend Account (CDA) credit of \$85,933,031 attributable to the policy, which is used to maximize the estate's net value, with the remaining balance distributed as a taxable dividend.

The resulting distribution is efficient and transparent:

- **Total Death Benefit:** \$100,000,000
- **Tax-Free CDA Dividend:** \$85,933,031
- **Taxable Portion:** \$15,273,335
 - Tax at 48.70%: (\$7,438,114)

This results in a total net benefit to the estate of \$92,561,886

To achieve the same outcome by allocating the same annual deposits into a taxable portfolio of passive corporate investments, the corporation would need to grow a portfolio to \$120,920,384 by age 85. This requires sustaining an 29.6% annual return every year for the next 14 years. Only at this level—after corporate tax, dividend distribution, and RDTOH recovery—would the estate net an equivalent \$92,561,886.

Note: The analysis assumes the NCPI portion of the premium is deductible at the specified tax rate. See the analysis detailed below on pages 5 & 6.

Please see the attached analysis

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Sun Life Guaranteed UL / Male 71 \$100M

Yr	Age	Net Deposit ¹	Cash Value	Face Value	CDA	Net Value ²
1	72	\$3,348,523	-	\$100,000,000	\$96,920,559	\$98,500,312
2	73	3,031,300	-	100,000,000	94,336,552	97,241,901
3	74	2,962,943	-	100,000,000	91,958,421	96,083,751
4	75	2,826,368	-	100,000,000	89,852,514	95,058,174
5	76	2,687,947	-	100,000,000	88,022,510	94,166,962
6	77	2,547,144	-	100,000,000	86,473,160	93,412,429
7	78	2,404,212	-	100,000,000	85,208,705	92,796,639
8	79	2,260,557	-	100,000,000	84,230,585	92,320,295
9	80	2,118,284	-	100,000,000	83,536,048	91,982,055
10	81	1,965,521	-	100,000,000	83,146,000	91,792,102
11	82	1,810,165	-	100,000,000	83,065,613	91,752,954
12	83	1,769,835	-	100,000,000	83,299,474	91,866,844
13	84	1,769,835	-	100,000,000	83,851,404	92,135,634
14	85	1,769,835	-	100,000,000	84,726,665	92,561,886
15	86	1,769,835	-	100,000,000	85,933,031	93,149,386
16	87	1,769,835	-	100,000,000	87,482,292	93,903,876
17	88	1,769,835	-	100,000,000	89,201,313	94,741,040
18	89	1,769,835	-	100,000,000	91,080,912	95,656,404
19	90	1,769,835	-	100,000,000	93,110,273	96,644,703
20	91	1,769,835	-	100,000,000	95,277,018	97,699,908
21	92	1,769,835	-	100,000,000	97,565,311	98,814,306
22	93	1,769,835	-	100,000,000	99,954,685	99,977,931
23	94	1,769,835	-	100,000,000	100,000,000	100,000,000
24	95	1,769,835	-	100,000,000	100,000,000	100,000,000
25	96	1,769,835	-	100,000,000	100,000,000	100,000,000
26	97	1,769,835	-	100,000,000	100,000,000	100,000,000
27	98	1,769,835	-	100,000,000	100,000,000	100,000,000
28	99	1,769,835	-	100,000,000	100,000,000	100,000,000
29	100	1,769,835	-	100,000,000	100,000,000	100,000,000

Insured: Male Age 71 Std Non-Smoker (Quebec Corporate Owner)

(1) Net Deposit = Deposit - Premium Deduction at 50.17%. See Analysis.

(2) Net = CDA + [(Face Value - CDA) x (1 - 48.70%)] - [CSV x 26.65%]

Armstrong Financial Services Inc. / David Kakon, Math B.Sc.

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Corporate Income (Hurdle Rate) @ 29.6%

	<i>Deposit</i>	<i>Fund BOY</i>	<i>Income</i>	<i>Income Tax</i>	<i>Fund EOY</i>	<i>RDTOH</i>
	<i>a</i>	<i>b</i>	<i>c</i>	<i>d</i>	<i>e</i>	<i>f</i>
	$a + e_{(y-1)}$		$b \times 29.61\%$	$c \times 50.17\%$	$b + c + d$	$\Sigma c \times 30.67\%$
1 72	\$ 3,348,523	\$ 3,348,523	\$ 991,357	\$ (497,364)	\$ 3,842,516	\$ 304,016
2 73	3,031,300	6,873,816	2,035,048	(1,020,984)	7,887,880	928,097
3 74	2,962,943	10,850,823	3,212,473	(1,611,698)	12,451,599	1,913,256
4 75	2,826,368	15,277,967	4,523,164	(2,269,271)	17,531,859	3,300,359
5 76	2,687,947	20,219,807	5,986,235	(3,003,294)	23,202,748	5,136,138
6 77	2,547,144	25,749,891	7,623,461	(3,824,690)	29,548,662	7,473,999
7 78	2,404,212	31,952,874	9,459,903	(4,746,033)	36,666,743	10,375,036
8 79	2,260,557	38,927,301	11,524,738	(5,781,961)	44,670,077	13,909,289
9 80	2,118,284	46,788,361	13,852,067	(6,949,582)	53,690,847	18,157,256
10 81	1,965,521	55,656,368	16,477,511	(8,266,767)	63,867,112	23,210,360
11 82	1,810,165	65,677,277	19,444,281	(9,755,196)	75,366,362	29,173,273
12 83	1,769,835	77,136,197	22,836,786	(11,457,215)	88,515,767	36,176,554
13 84	1,769,835	90,285,602	26,729,772	(13,410,327)	103,605,047	44,373,684
14 85	1,769,835	105,374,882	31,197,074	(15,651,572)	120,920,384	53,940,786

A) Corporate Income / Year 14

Total Taxable Dividend Distribution Declared: \$174,861,170 (e + f)

Distribution	Type	Amount	Tax Rate	Taxes	Net to Estate
Dividend	Eligible	33,272,469	40.11%	(13,345,588)	19,926,882
Dividend	Non-Eligible	141,588,701	48.70%	(68,953,697)	72,635,003
Total Net					92,561,886

B) Life Insurance / Year 14

Total Corporate Policy Proceeds Distributed: \$100,000,000

Distribution	Type	Amount	Tax Rate	Taxes	Net to Estate
Dividend	CDA	84,726,665	-	-	84,726,665
Dividend	Non-Eligible	15,273,335	48.70%	(7,438,114)	7,835,221
Total Net					92,561,886

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— Financial Services —

Attn: Valued Client c/o Howard Berglas

Re: Deduction & Net Premium Costs for Guaranteed UL

If a bank mandates your corporately owned life insurance policy as collateral for a **new or existing** corporate business loan, a portion or all of the premium costs can become tax-deductible. To claim this deduction, the following requirements must be met in accordance with paragraph 20(1)(e.2) of the Act:

1. The policy must be assigned to the lender;
2. The lender must be a "restricted financial institution";
3. The interest in respect of the debt would be deductible in computing income for the year; and
4. The assignment must be required by the lender as collateral for the debt.

The Calculation

Deductible Amount = { Lesser of Deposit or NCPI } x { Loan / Policy }

The NCPI (Net Cost of Pure Insurance) values are contractual figures provided in your insurance policy illustration or contract. The deduction you can claim is proportionate to the amount of the loan relative to the policy's Face Amount. For example, if your loan is \$65M and the policy Face Amount is \$100M, you can claim 65% of the eligible deduction.

Illustration

If the four conditions outlined above are successfully met, the following scenario illustrates your projected net out-of-pocket premium costs. This projection is based on the assumptions that all four CRA criteria are satisfied annually, the loan amount remains at \$100,000,000, and the applicable corporate income tax rate is 50.17%. Additionally, it assumes that deposits are made annually and that policy costs are not funded internally from the cash value.

Note: This is not intended as tax or legal advice. Please consult with your tax professionals.

Sincerely,

David E. Kakon, Math Honours B.Sc.

Armstrong Financial Services

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Sun Life Net Deposit / NCPI Deductions

Yr	Age	Gross Deposit	NCPI	Deduct ¹	Tax Saved ²	Net Deposit ³
		A	B	C	D	E
1	72	\$3,619,441	\$540,000	\$540,000	\$270,918	\$3,348,523
2	73	3,481,644	897,637	897,637	450,344	3,031,300
3	74	3,551,746	1,173,615	1,173,615	588,803	2,962,943
4	75	3,551,745	1,445,838	1,445,838	725,377	2,826,368
5	76	3,551,745	1,721,741	1,721,741	863,798	2,687,947
6	77	3,551,746	2,002,397	2,002,397	1,004,602	2,547,144
7	78	3,551,745	2,287,289	2,287,289	1,147,533	2,404,212
8	79	3,551,746	2,573,627	2,573,627	1,291,189	2,260,557
9	80	3,551,745	2,857,207	2,857,207	1,433,461	2,118,284
10	81	3,551,745	3,161,697	3,161,697	1,586,224	1,965,521
11	82	3,551,746	3,471,359	3,471,359	1,741,581	1,810,165
12	83	3,551,745	3,785,606	3,551,745	1,781,910	1,769,835
13	84	3,551,745	4,103,675	3,551,745	1,781,910	1,769,835
14	85	3,551,746	4,427,006	3,551,746	1,781,911	1,769,835
15	86	3,551,745	4,758,111	3,551,745	1,781,910	1,769,835
16	87	3,551,746	5,101,007	3,551,746	1,781,911	1,769,835
17	88	3,551,745	5,270,766	3,551,745	1,781,910	1,769,835
18	89	3,551,745	5,431,344	3,551,745	1,781,910	1,769,835
19	90	3,551,746	5,581,107	3,551,746	1,781,911	1,769,835
20	91	3,551,745	5,718,490	3,551,745	1,781,910	1,769,835
21	92	3,551,746	5,840,039	3,551,746	1,781,911	1,769,835
22	93	3,551,745	5,941,119	3,551,745	1,781,910	1,769,835
23	94	3,551,745	6,015,083	3,551,745	1,781,910	1,769,835
24	95	3,551,746	6,049,889	3,551,746	1,781,911	1,769,835
25	96	3,551,745	6,026,663	3,551,745	1,781,910	1,769,835
26	97	3,551,745	5,911,309	3,551,745	1,781,910	1,769,835
27	98	3,551,746	5,643,408	3,551,746	1,781,911	1,769,835
28	99	3,551,745	5,111,130	3,551,745	1,781,910	1,769,835
29	100	3,551,746	4,099,009	3,551,746	1,781,911	1,769,835

Insured: Male Age 71 Std Non-Smoker (Quebec Corporate Owner)

Sun Life Universal Life II "Level UL" / Assumed ROR = 0% (Guar)

1) C = Lesser of A or B -----> 2) D = C x 50.17% -----> 3) E = A - D

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